

Quelvox Industrial Holdings, LLC

MEMORANDUM

To	Audit file
From	Joshua Zixford, Controller
Date	01/30/2026
Re	Allowance for credit losses under ASC 326 - 12/31/2025

1. SCOPE AND POOLING

This memo documents management's estimate of expected credit losses on trade receivables as of 12/31/2025. Receivables share similar risk characteristics within aging bands, so the portfolio is pooled by days past due: current, 1-30, 31-60, 61-90, over-90. Balances are aged from the due date.

2. METHODOLOGY

Expected loss rates are applied to each pool's open exposure. The rates reflect the collection history of each aging band, with older receivables carrying progressively higher expected loss content, and are reviewed annually against subsequent collections, write-offs, and recoveries retained by aging cohort. The prior-year reserve and sensitivity columns below are the annual back-test controls. Receivables with known collection risk carry a specific reserve in place of the pool rate; none were identified this year.

3. LOSS-RATE SUPPORT AS OF 12/31/2025

Aging pool	Exposure	Loss rate	Prior reserve	Reserve	Sensitivity
current	571,578.33	0.00%	0.00	0.00	5,715.78
1-30	151,874.00	5.00%	6,044.04	7,593.70	1,518.74
31-60	89,528.55	20.00%	9,726.05	17,905.71	895.29
61-90	12,066.87	50.00%	7,595.66	6,033.44	120.67
over-90	40,246.60	100.00%	23,144.37	40,246.60	402.47
Total	865,294.35			71,779.45	

Historical cohort calculation retained for the annual back-test:

The supporting allowance workbook retains 15 annual exposure-cohort rows and 24 customer/invoice-level write-off and recovery events, including dates, approval references, and source-ledger references. The table below is their pool-level reconciliation.

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
current	2022-01-01 through 2024-12-31	1,850,000.00	0.00	0.00	0.00	0.00%
1-30	2022-01-01 through 2024-12-31	620,000.00	49,750.00	18,750.00	31,000.00	5.00%

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Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
31-60	2022-01-01 through 2024-12-31	460,000.00	167,000.00	75,000.00	92,000.00	20.00%
61-90	2022-01-01 through 2024-12-31	260,000.00	317,500.00	187,500.00	130,000.00	50.00%
over-90	2022-01-01 through 2024-12-31	380,000.00	755,000.00	375,000.00	380,000.00	100.00%

Independent direct-source reperformance:

Pool	Direct source	Exposure	Recomputed	Recorded	Difference	Result
current	Confirmation reference History Ledger 2025 001; Confirmation reference Specific Risk 2025 001; Confirmation reference Economic Overlay 2025	571,578.33	0.00	0.00	0.00	passed
1-30	Confirmation reference History Ledger 2025 002; Confirmation reference Specific Risk 2025 002; Confirmation reference Economic Overlay 2025	151,874.00	7,593.70	7,593.70	0.00	passed
31-60	Confirmation reference History Ledger 2025 003; Confirmation reference Specific Risk 2025 003; Confirmation reference Economic Overlay 2025	89,528.55	17,905.71	17,905.71	0.00	passed
61-90	Confirmation reference History Ledger 2025 004; Confirmation reference Specific Risk 2025 004; Confirmation reference Economic Overlay 2025	12,066.87	6,033.44	6,033.44	0.00	passed
over-90	Confirmation reference History Ledger 2025 005; Confirmation reference Specific Risk 2025 005; Confirmation reference Economic Overlay 2025	40,246.60	40,246.60	40,246.60	0.00	passed

4. FORWARD-LOOKING CONSIDERATIONS

Current-year conditions did not require a qualitative overlay for 2025: industrial-customer concentration, collection cadence, steel-price volatility, and current manufacturing demand affecting the trade receivables base are consistent with the historical period underlying the pool rates, so no adjustment to the historical loss rates was recorded.

5. CONCLUSION

The recorded allowance equals the pool-level estimate above and is reassessed at each reporting date.

Recorded allowance	71,779.45
Judgmental sensitivity (not a known misstatement)	8,652.94
Known best-estimate difference	0.00

6. SUBSEQUENT-COLLECTION AND SPECIFIC-RISK REVIEW

The following invoice-level back-test matches cash applications through 02/17/2026 to the year-end aging and documents the specific-risk conclusion for each remaining open item.

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-53307	current	7,703.86	0.00	7,703.86	Covered by aging-pool reserve; no specific-loss indicator
INV-53300	current	5,351.65	5,351.65	0.00	Collected after year end; no specific reserve
INV-53314	current	10,512.08	10,512.08	0.00	Collected after year end; no specific reserve
INV-53304	current	5,070.90	5,070.90	0.00	Collected after year end; no specific reserve
INV-53315	current	2,255.40	2,255.40	0.00	Collected after year end; no specific reserve
INV-53312	current	4,486.45	0.00	4,486.45	Covered by aging-pool reserve; no specific-loss indicator
INV-53326	current	7,725.19	7,725.19	0.00	Collected after year end; no specific reserve
INV-53290	current	4,698.18	4,698.18	0.00	Collected after year end; no specific reserve
INV-53329	current	5,519.62	5,519.62	0.00	Collected after year end; no specific reserve
INV-53282	current	15,563.97	15,563.97	0.00	Collected after year end; no specific reserve
INV-53278	current	20,488.94	20,488.94	0.00	Collected after year end; no specific reserve
INV-53330	current	4,158.77	0.00	4,158.77	Covered by aging-pool reserve; no specific-loss indicator
INV-53303	current	18,169.90	18,169.90	0.00	Collected after year end; no specific reserve
INV-53275	current	10,166.52	0.00	10,166.52	Covered by aging-pool reserve; no specific-loss indicator
INV-53283	current	11,120.41	11,120.41	0.00	Collected after year end; no specific reserve
INV-53331	current	9,716.51	9,716.51	0.00	Collected after year end; no specific reserve
INV-53276	current	10,099.46	10,099.46	0.00	Collected after year end; no specific reserve
INV-53277	current	6,167.98	6,167.98	0.00	Collected after year end; no specific reserve
INV-53332	current	7,878.22	7,878.22	0.00	Collected after year end; no specific reserve
INV-53333	current	12,092.00	12,092.00	0.00	Collected after year end; no specific reserve
INV-53187	current	20,507.76	20,507.76	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-53317	current	12,775.60	12,775.60	0.00	Collected after year end; no specific reserve
INV-53194	current	3,253.50	3,253.50	0.00	Collected after year end; no specific reserve
INV-53298	current	17,359.80	17,359.80	0.00	Collected after year end; no specific reserve
INV-53319	current	16,172.09	16,172.09	0.00	Collected after year end; no specific reserve
INV-53219	current	6,838.98	6,838.98	0.00	Collected after year end; no specific reserve
INV-53280	current	16,841.34	16,841.34	0.00	Collected after year end; no specific reserve
INV-53284	current	20,871.57	20,871.57	0.00	Collected after year end; no specific reserve
INV-53316	current	3,139.98	3,139.98	0.00	Collected after year end; no specific reserve
INV-53291	current	3,704.11	0.00	3,704.11	Covered by aging-pool reserve; no specific-loss indicator
INV-53287	current	15,229.08	0.00	15,229.08	Covered by aging-pool reserve; no specific-loss indicator
INV-53295	current	17,867.98	17,867.98	0.00	Collected after year end; no specific reserve
INV-53323	current	11,084.84	11,084.84	0.00	Collected after year end; no specific reserve
INV-53292	current	10,919.82	10,919.82	0.00	Collected after year end; no specific reserve
INV-53299	current	8,552.75	8,552.75	0.00	Collected after year end; no specific reserve
INV-53297	current	8,862.14	0.00	8,862.14	Covered by aging-pool reserve; no specific-loss indicator
INV-53203	current	3,852.00	3,852.00	0.00	Collected after year end; no specific reserve
INV-53325	current	6,533.45	6,533.45	0.00	Collected after year end; no specific reserve
INV-53281	current	16,086.10	16,086.10	0.00	Collected after year end; no specific reserve
INV-53272	current	13,130.56	13,130.56	0.00	Collected after year end; no specific reserve
INV-53320	current	21,610.61	21,610.61	0.00	Collected after year end; no specific reserve
INV-53310	current	20,350.91	0.00	20,350.91	Covered by aging-pool reserve; no specific-loss indicator
INV-53265	current	11,877.17	0.00	11,877.17	Covered by aging-pool reserve; no specific-loss indicator
INV-53334	current	9,041.55	9,041.55	0.00	Collected after year end; no specific reserve
INV-53336	current	20,302.86	20,302.86	0.00	Collected after year end; no specific reserve
INV-53294	current	7,904.98	7,904.98	0.00	Collected after year end; no specific reserve
INV-53254	current	244.36	244.36	0.00	Collected after year end; no specific reserve
INV-53181	1-30	6,665.69	6,665.69	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-53255	current	12,313.02	0.00	12,313.02	Covered by aging-pool reserve; no specific-loss indicator
INV-53214	1-30	10,893.09	10,893.09	0.00	Collected after year end; no specific reserve
INV-53150	1-30	19,534.53	19,534.53	0.00	Collected after year end; no specific reserve
INV-53220	1-30	11,053.34	11,053.34	0.00	Collected after year end; no specific reserve
INV-53167	current	11,271.77	11,271.77	0.00	Collected after year end; no specific reserve
INV-53154	current	10,337.02	10,337.02	0.00	Collected after year end; no specific reserve
INV-53241	current	15,457.18	0.00	15,457.18	Covered by aging-pool reserve; no specific-loss indicator
INV-53177	current	18,337.44	18,337.44	0.00	Collected after year end; no specific reserve
INV-53164	1-30	16,135.38	16,135.38	0.00	Collected after year end; no specific reserve
INV-53112	1-30	7,046.05	7,046.05	0.00	Collected after year end; no specific reserve
INV-53186	1-30	15,771.15	0.00	15,771.15	Covered by aging-pool reserve; no specific-loss indicator
INV-53182	1-30	11,744.18	11,744.18	0.00	Collected after year end; no specific reserve
INV-53221	1-30	6,343.27	6,343.27	0.00	Collected after year end; no specific reserve
INV-53226	1-30	21,646.86	21,646.86	0.00	Collected after year end; no specific reserve
INV-53170	1-30	10,328.87	10,328.87	0.00	Collected after year end; no specific reserve
INV-53189	1-30	5,325.27	5,325.27	0.00	Collected after year end; no specific reserve
INV-53116	1-30	6,626.51	6,626.51	0.00	Collected after year end; no specific reserve
INV-53149	31-60	13,417.43	13,417.43	0.00	Collected after year end; no specific reserve
INV-53142	31-60	4,691.53	0.00	4,691.53	Covered by aging-pool reserve; no specific-loss indicator
INV-53144	31-60	12,471.68	12,471.68	0.00	Collected after year end; no specific reserve
INV-53137	31-60	18,860.89	18,860.89	0.00	Collected after year end; no specific reserve
INV-53139	31-60	11,730.96	11,730.96	0.00	Collected after year end; no specific reserve
INV-53178	1-30	2,759.81	2,759.81	0.00	Collected after year end; no specific reserve
INV-53135	31-60	3,682.11	3,682.11	0.00	Collected after year end; no specific reserve
INV-53147	31-60	10,324.06	10,324.06	0.00	Collected after year end; no specific reserve
INV-53039	61-90	8,895.51	8,895.51	0.00	Collected after year end; no specific reserve
INV-53085	61-90	3,171.36	0.00	3,171.36	Covered by aging-pool reserve; no specific-loss indicator
INV-53106	31-60	14,349.89	14,349.89	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-53005	over-90	3,586.75	3,586.75	0.00	Collected after year end; no specific reserve
INV-52948	over-90	6,837.38	6,837.38	0.00	Collected after year end; no specific reserve
INV-52990	over-90	4,475.21	4,475.21	0.00	Collected after year end; no specific reserve
INV-52662	over-90	6,722.42	0.00	6,722.42	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-52679	over-90	5,961.76	5,961.76	0.00	Collected after year end; no specific reserve
INV-52664	over-90	6,391.98	6,391.98	0.00	Collected after year end; no specific reserve
INV-52674	over-90	6,271.10	0.00	6,271.10	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator

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